

The Hidden Cost of Dirty Address Data

A business impact summary for insurance carrier leadership — 300,000 policyholder portfolio

"Dirty data doesn't just block today's decisions. It **poisons tomorrow's models**. Every AI underwriting initiative a carrier plans is only as good as the location truth underneath it. Precisely is the foundation that makes that investment pay off."

RISK 1 — PREMIUM MISPRICING

Wrong address = wrong risk zone

\$7.4M – \$11.1M

Annual premium at risk from 66,000 records with bad address data. Precisely corrects 78% — recovering **\$5.8M – \$8.6M** in annual premium accuracy.

RISK 2 — CLAIMS MISROUTING

Wrong location = wrong adjuster

\$2.6M – \$4.2M

Annual wasted adjuster cost from ~5,280 claims misrouted due to bad address data. At \$500–\$800 per misdirected claim across an 8% annual claim rate.

RISK 3 — COMPLIANCE EXPOSURE

Unverifiable locations = regulatory risk

\$7.2M – \$21.6M

Potential NJ DOI exposure from ~14,400 records unverifiable to a physical location. At \$5,000 max fine per record, 10–30% enforcement rate.

RISK 4 — AI READINESS

Bad data blocks underwriting automation

48,000 records

In a 300K portfolio not at 100% verification confidence — requiring premium loading or manual review. These records **cannot be fed into AI underwriting models** safely.

HOW PRECISELY CLOSES THE GAP



PROOF POINTS FROM THE PROTOTYPE

78% correction rate — of 55 intentionally dirty records, 43 were caught and standardized by Precisely's verification engine. Street typos, ZIP/city mismatches, and flood zone misplacements all corrected automatically.

100% geocode coverage — all 250 records geocoded to building-level precision with PreciselyID assigned. Enables exact CAT model placement and flood map matching impossible with ZIP-level data.

LLM narrative depth — enriched underwriter assessments reference flood zone proximity, fire station response time, neighborhood income tier, and building characteristics. Basic address-only assessments cannot access any of this context.